

ing an assets deficiency. You need to improve the system and the process to remove the deficiency. It may be a temporary support system, like a stand-by substitute. The answer may be different depending upon your circumstances and your context in the business. But there needs to be an answer.

Next step

There are other things that count as assets when determining the value of your start-up in the market. Your core product and the methodology you use to develop it becomes your IP. Your software system that you use to operate your business (it could be your CRM, accounting system, logistics, etc) could be another one.

Your sales and marketing process is also crucial towards raising the value of your start-up. Questions like how you get your sales leads, how your sales cycle works, what process does a salesperson follow, how are they selling it and to whom, are all important questions to answer when trying to seek investors for the company. Answers to all these questions would highlight how efficiently your product is sold in the market, which further strengthens your position in the market.

“How will you position your company? If you are a B2B supplier, are you an integrator or an aggregator, or something else? How does your company brand show up in the market, and how will you maintain that positioning for a longer period in the market? This is important from investors’ perspective because if they do not know where your company fits in the market, they may evaluate it incorrectly. It could also mean that you get a lower valuation, or worse they may not be interested at all,” informs Tamboli.

The team

Once you have a solid product, a functioning operating system, and a clear idea of other tangible and intangible assets, it is time to finally build a good team. Creating a good team may seem like a big investment, but it is totally worth it because they are the people who will help your start-up gain maximum revenue.

“First of all, you need the operations team to deliver. Then you need the admin team to support the operations. After that comes the marketing and sales team, etc. And by now you will have all the systems that the entire team can use to function effectively,” according to Tamboli.

Marketing

When we talk about marketing, it does not just mean creating fancy advertisements or flyers or content on social media platforms, explains Tamboli. He says, “Content marketing is much more than creating superficial content for marketing. It is also about creating the content to maintain your product.”

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For instance, having a video about starting your product and using it may seem trivial, but you would be surprised to know that it can work wonders for your start-up. It saves you the hassle of replying to hundreds of mails and calls from confused customers.

Tamboli explains, “A thoughtfully created content can be highly useful to maintain, sustain, and amplify the core product in the market. You will save time and resources for trivial, repetitive activities.”

Another benefit of this type of content, adds Tamboli, is that it gives comfort to the buyer. “For example, if something goes wrong, as a buyer I want to know what to do. To me, if I know, it means the product is reliable. If I do not know how to change the

battery or deal with routine damage, most likely, I won’t be inclined to buy it,” as per Tamboli.

Adding the final touch

Now that you have done everything, how do you finally know that you have achieved everything you could?

“The most important asset test of a great and established brand is the question: Is it easy to rebrand? Because when a brand is solid and pervasive, it almost becomes difficult to rebrand. If you answer yes to the question, it most likely means that your brand is not solid yet. And if you say no that means you are getting there,” says Tamboli.

With this step, you have arrived at a conclusion towards leveraging your start-up value, which means it is time to finally reap the benefits of your hard work. You now need to hire a chartered accountant to assess the value of your company.

There are some common assets that every electronics start-up would have at this stage like a unique circuit design, or software that cannot be copied, or a trademark or name, or a particular design, purchase orders, and so on. Everything that you add together increases the total valuation.

“A formal valuation is difficult to contest and argue. Otherwise, it is your word against the investors’. And you know it is not a balanced conversation,” Tamboli adds finally.

All of this might seem tedious, and it might be alluring to skip out or jump between stages when building your start-up, but it will only slow down your progress. Following the sequence is imperative if you wish to raise the value of your start-up.

Now that you have the knowledge, it is time to start hustling, go ahead and build those assets. Soon you will start seeing the fruits of your hard work. When you keep building the product and associated services you will see that the valuation and the way people look at your start-up will be quite different. **EFY**



Anand Tamboli is a serial entrepreneur, speaker, award-winning author, and an emerging-technology thought leader